

CONCLUSION

On November 8, 1982, *The Elliott Wave Theorist* put the kick-off to the great stock market boom in perspective:

It has been years since the last real stock boom. In the meantime, precious metals went crazy, real estate went crazy, the Hong Kong stock market went crazy, and porcelain figurines of central African rhinoceri went crazy. Now it's time for the exploitation of the only truly undervalued asset in the world: U.S. blue chip stocks.

If the U.S. blue chip stock market has not been exploited since then, I do not know what has. As you can see by the figures in this chapter, that exploitation has taken place in such a way as to fulfill, or nearly fulfill, the requirements of a classic Elliott Wave progression of social psychological change.

Today the stock market is rapidly approaching the type of compelling juncture that comes along only two or three times in a professional analyst's career. There are times, as in 1974 and 1982, when the Wave Principle is so powerfully indicative that to the analyst who uses it, there is just no question as to the market juncture at hand and the events that are just around the corner. At such times, the patterns are perfect, the psychology is perfect, and the timing is perfect. This year presents another one of those times.

Wave forms allow for variation, to be sure, and concluding that uptrends in the Dow Jones Industrial Average lasting 8 years, 21 years, 63 years and 211 years are all terminating might appear risky. Yet market analysis is forever a task involving *probability*, not certainty, and each conclusion must be accepted on those terms, as there are no other terms available. Experience shows that the market will produce patterns such as those described herein whether or not the *current* juncture, convincing though it appears, proves to be significant. We shall proceed nevertheless under the direction of Prussian military strategist Karl von Clausewitz, who said quite rightly, "It is impossible to be too strong at the decisive point."

The market is rapidly reaching a decisive point. As the analysis in this chapter demonstrates, the Grand Supercycle has five waves: (I), (II), (III), (IV) and (V). The fifth Supercycle has five waves: I, II, III, IV and V. The fifth Cycle wave has five waves: ①, ②, ③, ④ and ⑤. The fifth Primary wave has nearly completed five waves: (1), (2), (3), (4) and (5). Never before has an Elliott Wave practitioner been alive to anticipate the termination of a structure of this magnitude. It may not happen again for centuries.